MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU- UGP (HONOURS)

(2024 Admission Onwards)

B.COM SEMESTER 2 - MODEL QUESTION PAPER

MG2DSCBLW100 – Business Regulatory Framework-(Minor)

Duration: 1 hr 15 minutes **Maximum Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Attempt any twenty questions. Each question carries 1 mark.

1. Which of the following is/are core areas of mercantile law? (Understand) (CO1)
   (i) Partnership Act (ii) Contract Act (iii) Sale of Goods Act
   a) (i) only (b) (ii) and (iii) only c) (ii) only d) (i), (ii) and (iii)

2. Which of the following agreements is void under the Indian Contract Act, 1872? (Understand) (CO2)
   a) An agreement in restraint of trade b) An agreement in restraint of legal proceedings
   c) An agreement by way of wager d) All the options

3. The Sale of Goods Act governs the sale of (Understand) (CO5)
   a) Movable goods b) Immovable property
   c) Both movable & immovable property d) Goods & services together

4. A person appointed by the original agent to act in the business of the agency but under the control of the original agent is known as a/an (Understand) (CO4)
   a) agent by estoppel b) sub-agent
   c) substituted agent d) del credere agent

5. An agreement that is illegal is: (Understand) (CO2)
   a) Always void but not punishable b) Void and punishable under law
   c) Void but may be enforced in special cases d) Valid unless challenged in court

6. A Quasi Contract is based on: (Understand) (CO2)
   a) Mutual agreement between the parties
   b) Obligation imposed by law
   c) The will of one party
   d) A written contract between the parties

7. In an E-Contract, a "Click-wrap" agreement refers to: (Understand) (CO2)
   a) An agreement where the user clicks "I Agree" to terms and conditions
   b) A contract signed by hand and uploaded online
   c) An oral contract made over the phone
   d) A contract that requires physical signatures

8. Bailment is primarily concerned with the: (Understand) (CO3)
   a) Sale of immovable property b) Transfer of ownership of goods.
   c) Delivery of goods for a temporary purpose. d) Creation of a permanent interest in goods.

9. The term "Quantum Meruit" means: (Understand) (CO2)
a) As much as is earned b) As much as is deserved
c) As much as is agreed d) As much as is paid

10. Which of the following best describes "Novation" in contract law? (Understand) (CO2)
a) Assignment of rights without obligations
b) Transfer of both rights and obligations with the consent of all parties
c) Termination of contract due to breach
d) Modification of contract terms without changing parties

11. Which of the following is a fundamental requirement for valid consideration in a contract? (Understand) (CO1)
a) It must be adequate to the promise. b) It must be performed by the promisor.
c) It must move at the desire of the promisor. d) It must be of monetary value.

12. Which of the following is NOT a remedy for breach of contract? (Understand) (CO2)
a) Damages b) Specific performance
c) Imprisonment of the guilty party d) Injunction

13. Which type of damages is awarded to compensate the actual loss suffered by the aggrieved party? (Understand) (CO2)
a) Punitive damages b) Nominal damages
c) Ordinary damages d) Special damages

14. When consent is caused by coercion, the contract becomes (Understand) (CO1)
a) Void b) Voidable
c) Void -ab-initio d) None of the other options

15. Which of the following is NOT an essential element of a valid contract of sale under the Sale of Goods Act, 1930? (Understand) (CO5)
a) There must be two parties – a buyer and a seller
b) The subject matter must be goods.
c) The price must always be paid at the time of sale.
d) There must be a transfer of property in goods.

16. Which of the following is NOT considered "goods" under the Sale of Goods Act, 1930? (Understand) (CO5)
a) A car
b) A factory building
c) Stocks and shares
d) Growing crops agreed to be severed before sale

17. In a sale of specific goods, when does ownership transfer to the buyer? (Understand) (CO5)
a) When the buyer receives delivery of goods
b) When the price is paid in full
c) When the parties intend to transfer ownership
d) When the goods are identified for delivery

18. Tender indicates (Understand, CO2)
a) Actual Performance b) Offer for performance c) Breach of contract d) None of the other options

19. Which of the following is NOT a right of an unpaid seller under the Sale of Goods Act, 1930? (Remember) (CO5)
a) Right to stop goods in transit
b) Right to resell the goods
c) Right to claim interest on delayed payment automatically

d) Right to lien on goods

20. Which of the following is an exception to the doctrine of "Caveat Emptor"? (Understand) (CO5)

a) When the seller is not the manufacturer of goods
b) When the buyer examines the goods before purchase
c) When the buyer relies on the seller's skill and judgment
d) When the goods are sold at a discounted price

21. Who among the following can exercise particular lien? (Understand) (CO3)

a) Wharfinger (b) Banker (c) Factor (d) Tailor

22. Which of the statements is not true? (Understand) (CO3)

(i) A pledgee can use the goods pledged. (ii) A pledgee has the right of sale.
(iii) A pledge can be with or without consideration (iv) Pledge is a kind of bailment

a) i & ii b) i & iii c) ii & iii d) I, ii & iv

[1 x 20 = 20]

Part B
Answer any 25 Questions Each question carries 2 marks

23. Which of the following statements is INCORRECT regarding void and illegal agreements? (Understand) (CO2)

a) All illegal agreements are void, but not all void agreements are illegal
b) A void agreement has no legal effect, but an illegal agreement may have criminal consequences
c) An agreement may be void due to uncertainty, but not necessarily illegal
d) A collateral agreement to an illegal agreement is always enforceable

24. The Indian Contract Act, applies to the: (Understand, CO1)

a) Whole of India excluding Jammu & Kashmir b) Whole of India including Jammu & Kashmir
c) States notified by the Central Government from time to time d) None of the above.

25. Clayton's Rule applies (Understand) (CO2)

a) A debtor makes multiple payments to a creditor without specifying which debt is being cleared
b) A contract is terminated before completion
c) A customer deposits money into a fixed deposit account
d) A business issues multiple invoices to a client

26. Quasi contracts are (Understand, CO2)

a) Created by explicit agreement b) The event solely depends on one party's action
c) Based on the principle of unjust enrichment d) Always verbal contracts

27. X, an agent, enters into a contract on behalf of Y but does not disclose that he is acting as an agent. The third party, after learning about Y's existence, sues X instead of Y. What is X's liability? (Apply) (CO6)

a) X is personally liable since he did not disclose his principal.
b) X is not liable, and the third party must sue Y.
c) X and Y are jointly liable.
d) X is liable only if the third party refuses to contract with Y.

28. A guaranteed B's loan to C through a continuing guarantee. Later, A gave a written notice to B revoking his guarantee. What is A's liability after revocation? (Apply) (CO6)

a) A is liable for all past and future loans.
b) A is discharged from all liabilities immediately.

c) A is liable only for loans given before revocation.
d) A remains liable if C defaults within six months.

29.A enters into a contract with B to indemnify him against losses due to theft in his shop. Later, B's shop is looted during a riot. Can B claim indemnity from A? (Apply) (CO6)
a) Yes, because theft includes all types of unlawful taking.
b) No, because the loss was caused by a riot, not theft.
c) Yes, but only if B proves he took precautions to prevent the riot.
d) No, because an indemnity contract does not cover riots unless specified.

30.A stood as a surety for B's loan from C. Later, C, without informing A, gave away the securities held against the loan. What happens to A's liability? (Apply) (CO6)
a) A is fully discharged from the guarantee.
b) A remains liable, but C must compensate for the lost securities.
c) A is liable only for half of the loan amount.
d) A is discharged only if the securities were sufficient to cover the debt.

31.Which of the following statements is TRUE regarding conditions and warranties under the Sale of Goods Act, 1930? (Understand) (CO5)
a) A condition is a minor term that does not affect the main contract.
b) A breach of warranty allows the buyer to cancel the contract.
c) A condition can be treated as a warranty if the buyer voluntarily accepts the goods.
d) Warranty is a more important term than a condition.

32. Which of the following can terminate an agency relationship? (Understand, CO4)
a) Bankruptcy of the principal
b) Death of the agent
c) `Fulfilment of the task for which agency was created
d) All of the other options.

33. When an anticipatory breach occurs, the aggrieved party can: (Understand, CO2)
a) Wait until the due date to take legal action b) Immediately sue for damages
c) Cancel the contract d) All of the above

34. A sells goods to B on credit. Before B makes payment, A learns that B is insolvent. What can A do? (Apply, CO5)
a) A can stop the goods in transit
b) A can demand full payment before delivery
c) A can sue B's creditors for the payment
d) A cannot take any action since credit was granted

35. P buys a second-hand laptop from Q without asking about its specifications. After using it, P realizes it does not have enough storage for his needs. Can P claim compensation from Q? (Apply) (CO6)
a) Yes, because the seller must ensure the product is suitable for the buyer
b) No, because the buyer did not ask about the specifications
c) Yes, because the product was not of merchantable quality
d) No, because Q is only liable if he gave a false description

36. A agrees to sell machinery to B for ₹5,00,000. Later, A refuses to deliver. What is B's legal remedy? (Understand) (CO6)
a) B can sue for damages or demand specific performance
b) B can force A to sell at a reduced price

c) B has no remedy since the sale was not completed
d) B must enter into a new contract with A

37. In an auction, X bids for a car. Before the auctioneer accepts, X withdraws his bid. Can the auctioneer force X to buy the car? (Understand) (CO5)
a) Yes, once a bid is placed, it cannot be withdrawn
b) No, because a bid is just an offer that can be revoked before acceptance
c) Yes, if the auctioneer had announced that bids cannot be withdrawn
d) No, unless X had paid a deposit

38. A delivers goods to B but retains a seller's lien. What does this mean? (Understand) (CO5)
a) A has the right to repossess the goods even after delivery
b) A can refuse to deliver goods until full payment is received
c) A can demand additional payment before delivery
d) A can take back the goods even if B has paid partially

39. A orders 1,000 kg of rice from B. B delivers only 900 kg. What are A's rights? (Understand) (CO5)
a) A must accept whatever is delivered
b) A can reject the whole delivery or accept 900 kg and claim compensation
c) A must accept 900 kg and pay proportionately
d) A can demand an additional discount from B

40. A sells a horse to B, stating that it is fit for racing. Later, B finds out that the horse has a defect and cannot run fast. What remedy is available to B? (Apply) (CO6)
a) B can reject the horse and claim a refund.
b) B can only claim damages but must keep the horse.
c) B can demand a replacement horse.
d) B has no remedy as the defect was not visible.

41. P agrees to sell 100 bags of rice to Q from future stock. Before delivery, a flood destroys the warehouse and all the rice. What happens to the contract? (Apply) (CO6)
a) The contract is still valid, and Q can demand delivery later.
b) The contract is void, as the goods perished before ownership passed.
c) P must supply the rice from another source.
d) P must pay damages to Q.

42. A sells defective machinery to B without informing about the defects. B discovers the defects after six months. What is B's remedy? (Apply) (CO5)
a) B can reject the machinery and demand a refund.
b) B can only claim damages for breach of warranty.
c) B has no remedy as he used the machinery for six months.
d) B can demand replacement machinery.

43. A agrees to sell 500 bags of wheat to B. Before delivery, A mixes B's wheat with his own, making it impossible to separate. Who owns the wheat now? (Apply) (CO6)
a) A, because the wheat is still in his warehouse.
b) B, because A has appropriated the goods to the contract.
c) Both A and B jointly own the wheat.
d) Ownership will transfer only after B takes delivery.

44. At an auction, a car is listed with a reserved price of ₹5,00,000. The highest bid is ₹4,80,000, but the auctioneer still announces the sale. Can the owner refuse to sell? (Apply) (CO6)

a) Yes, because the highest bid did not meet the reserve price.
b) No, because the auctioneer has already announced the sale.
c) No, because bidders are protected under auction laws.
d) Yes, but only if the auctioneer allows withdrawal.

45. Consider the following Statements and select the correct option (Understand, CO4)
Statement I- The definition of indemnity is not given in the Indian Contract Act
Statement II- The contract of guarantee shall be in writing
a) Both the statements are correct b) Both the statements are incorrect.
c) Statement I is correct and II is incorrect d) Statement I is incorrect, but II is correct.

46. Consider the following assertion and reason and choose the appropriate answer (Understand, CO2)
Assertion (A): A contract becomes void if its performance is rendered impossible due to an unforeseen event beyond the control of the parties.
Reason (R): The doctrine of supervening impossibility states that if an event occurs after the formation of the contract, making its performance impossible, the contract is automatically discharged
(a) Both A and R are correct and R is the correct explanation of A
(b) Both A and R are correct, but R is not the correct explanation of A
(c) Both A and R are incorrect
(d) A is correct, but R is incorrect

47. Though not the owner of the goods, pledge by which among the following are recognised by the provisions of the Contract Act? (Understand) (CO3)
(i) Mercantile agent (ii) Co-owner in possession
(iii) Seller in possession after the sale (iv) A person in possession under a voidable contract
(a) All the four options (b) i, ii and iii (c) i, ii & iv (d) i, iii & iv

48. In which of the following circumstances can a finder of lost goods sell the same? (Understand) (CO3)
(i) When the owner refuses to pay the lawful charges
(ii) When the goods are of perishable nature
(iii) When the owner cannot be traced despite reasonable efforts
(iv) When the lawful charges amount to half of the value of goods
(a) i, ii & iii (b) i, ii & iv (c) ii, iii and iv (d) All the four options

49. A gives some cloth to the tailor for making a shirt. The tailor's charges are Rs 400. When the shirt is ready A tenders to pay Rs 400, but the tailer refuses to handover the shirt and demands further Rs 200 which was due from A earlier. The legal position is (Apply) (CO6)
(a) A has to pay Rs 200 and the line can be exercised by the tailor till then,
(b) A shall ask for another week's time to settle the previous dues and the tailor can exercise the lien
(c) The tailor cannot exercise the lien for the previous dues from A as per the provisions of the Act.
(d) As the previous dues are less than Rs 400, the tailor can exercise the line since tailor's charges at this instance is Rs 400. **[2 x 25 = 50)**